

Activity 01 · Financial statement analysis and ratios

Finance for Non-Finance Managers | C525 | Day 1 · 65 minutes

Scenario

A fictional Singapore distributor, Northstar Supplies Pte Ltd, asks for a short credit review. All values are illustrative SGD thousands.

Files supplied

Open **mock-data.xlsx**. Source tabs contain fictional data; use the **Your Analysis** tab or add calculation tabs. Work in pairs, then explain your decision to the class.

Instructions

1. In Excel, calculate gross profit, operating profit and net profit for each year from the Income Statement.
2. Classify current assets and current liabilities, then calculate current ratio, quick ratio, debt-to-equity, gross margin and net margin.
3. Check $\text{Assets} = \text{Liabilities} + \text{Equity}$. If the mock statements do not reconcile, identify and quantify the gap instead of forcing a balance.
4. Write a 100-word credit note describing two improvements or risks, with specific figures.

Submission and checks

Submit the completed workbook and a short credit note. Check units, formula references, ratio definitions and the balance-sheet reconciliation.

All company names, figures and benchmarks in this activity are synthetic teaching data. This is classroom practice, not a graded assessment or investment advice.